International Islamic University Chittagong

Department of Computer Science and Engineering

Mid-term Examination, Spring-2020 Program: B.Sc. Engg. (CSE)

Course Code: ACC-2401 Course Title: Financial and Managerial Accounting

Time: 3 hours Full Marks: 21

[Answer all ***three*** questions from the followings; figures in the right margin indicate full marks.]

1. Lisa Reed owns and operates an interior design studio called Reed Interiors. The following amounts summarize the financial position of her business on August 31, 19X2: **5 + 2**

Assets				= Liabilities	+ Owner's Equity
Cash	+ A. Rec. +	Supplies	+ Land	= A. Payable	+ Capital
Bl. 1,250	1,500		12,000	8,000	6,750

During September 19X2 the following events occurred:

a. Reed inherited $15,000 and deposited the cash in the business bank account.

b. Performed services for a client and received cash of $700.

c. Paid off the beginning balance of accounts payable.

d. Purchased supplies on account, $500.

e. Collected cash from a customer on account, $1,000.

f. Invested personal cash of $1,000 in the business.

g. Consulted on the interior design of a major office building and billed the client for services rendered, $2,400.

h. Recorded the following business expenses for the month:

(1) Paid office rent - $900

(2) Paid advertising - $100.

i. Sold supplies to another business for $150 cash, this was the cost of the supplies.

j. Withdrew cash of $1,800 for personal use.

Required

1. Analyze the effects of the above transactions on the accounting equation of Reed Interiors up to September 30, 19X2.

2. Prepare the income statement of Reed Interiors for the month ended September 30, 19X2.

2. Oliver Goldsmith opened a law office on September,3 of the current year. During the first month of operations, the business completed the following transactions:

Sep.3- Goldsmith transferred $2,0000 cash from his personal bank account to a business account entitled Oliver Goldsmith, Attorney.

Sep.4- Purchased supplies, $100, and furniture, $1,700, on account.

Sep.6- Performed legal services for a client and received $1,000 cash.

Sep.7- Paid $15,000 cash to acquire land for a future office site.

Sep.10- Defended a client in court, billed the client $800.

Sep.13- Paid for the furniture purchased September 4 on account.

Sep.15- Paid secretary salaries, $800.

Sep.17- Paid the telephone bill, $120.

Sep.23- Received partial payment from client on account, $700.

Sep.24- Prepared legal documents for a client on account, $800.

Sep.26- Paid the water and electricity bills, $110.
Sep.27- Received $1,500 cash for helping a client sell real estate
Sep.28- Paid secretary salaries, $800.
Sep.28- Paid rent expenses, $500
Sep.30- Withdraw $3,000 for personal use.

Required:

1) Record the transections in journal. **2**

2) Post the transaction to the ledger with label the balance of each account. **3**

3) Prepare the trial balance of Oliver Goldsmith, Attorney. **2**

3. Prepare Trial Balance from the following balances of Ms. Jasinda as on 31.12.2016: **7**

Capital 400000	Cash in hand 5000	Building 115000
Cash at bank 84700	Machinery 60000	Sundry Creditors 68000
Furniture 11000	Rent expense 48000	Car 68000
Opening stock 86000	Commission expense 1400	Rates and Taxes 2600
Purchases 94000	Bad debts 3200	Sales 192000
Insurance expense 2400	General Expenses 800	Sundry debtors 16200
Reserve for doubtful debts 7300		Salaries 90000
Unearned Revenue 16000	Interest received 5000	